

# What is Money?

## The Journey from Barter to UPI

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Grade 3 Financial Literacy Lesson

Discover how people traded goods long ago and how we pay today!

|         |                                  |
|---------|----------------------------------|
| Subject | Financial Literacy               |
| Grade   | Grade 3                          |
| Topic   | History of Money — Barter to UPI |
| Pages   | 16 slides → lesson handout       |

# Learning Objectives

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By the end of this lesson, students will be able to:

- ✓ Explain why money was invented and why barter was difficult.
- ✓ Describe the evolution of money: barter → coins → paper notes → digital payments.
- ✓ Identify Indian coins, paper notes, and the role of the Reserve Bank of India (RBI).
- ✓ Explain what UPI is and how digital payments work.
- ✓ Appreciate India's rich history of coins, including ancient punch-marked silver coins.

## 1. Why Do We Need Money?

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Money helps us buy things easily. When we go to a shop, we give money and get what we want. It makes trading simple and fair for everyone.

### Think About It! ■

Imagine you want a toy, but you have only apples to trade! Would the shopkeeper want your apples? Maybe not! That is exactly why money was invented — to solve this problem.

## 2. The Barter System

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Long ago, people exchanged things directly. This was called **barter**. If you had milk but wanted clothes, you traded with someone who had clothes! No coins, no notes — just trading what you had for what you needed.

### Problems with Barter

No One Wants It!

Hard to Find

Deciding Value

Finding a Match

### Example:

Imagine you have bananas but want a pencil. What if the pencil seller doesn't want bananas? You would have to keep searching for someone who wants exactly what you have. This made trading very difficult and confusing for everyone!

### 3. The Invention of Money

People got tired of the problems with barter, so they invented **money**! People started using special objects like shells, beads, and metal coins to buy and sell things. This made trading much easier for everyone.

#### India's Rich History of Money ■

Ancient Indians used **punch-marked coins made of silver**. These were some of the earliest coins in the world! Later, Mughal emperors created beautiful gold and silver coins with their names on them. Each coin tells a story of our past.

### 4. Types of Money

Money comes in different forms! We use coins that jingle in our pockets, paper notes that we can fold, and now even digital money on phones.

Coins

Paper Notes

Digital Money

Mobile Payments

### 5. Coins and Notes Today

Today, we use coins and notes made by the government. These are called **currency**.

| Type        | Denominations                          |
|-------------|----------------------------------------|
| Coins       | ■1, ■2, ■5, ■10                        |
| Paper Notes | ■10, ■20, ■50, ■100, ■200, ■500, ■2000 |

#### Did You Know?

The **Reserve Bank of India (RBI)** is the special bank that makes all our money. RBI decides how many coins and notes to print. Every note has the RBI Governor's signature on it — look at a note and find it!

### 6. Banks and Saving Money

Banks are special places that keep our money safe! When you save money in a bank, it stays protected. Banks help families save for important things like school, festivals, and emergencies. You can put money in and take it out when you need it. **Saving money helps us buy bigger things later!**

## 7. Digital Payments

Now, we can send money using our phones! Instead of carrying coins and notes, we can pay for things just by tapping on a smartphone. This is called **digital payment**.

### Real-Life Example:

Imagine buying your favourite snack at a shop. Your parents can just scan a QR code with their phone and pay instantly! No need to search for exact change or worry about losing money.

## 8. What is UPI?

**UPI** stands for **Unified Payments Interface**. It is a special system that helps us send and receive money easily using our phones. No need to go to a bank or carry cash!

### How Does UPI Work?

|        |                                                 |
|--------|-------------------------------------------------|
| Step 1 | Link Your Bank to a UPI app on your phone.      |
| Step 2 | Enter the UPI ID of the person you want to pay. |
| Step 3 | Enter the amount and confirm with your PIN.     |
| Step 4 | Done! Money is sent instantly. So easy!         |

### Benefits of UPI

Fast and instant payments

No need to carry cash

Safe and secure

Use anytime, anywhere

## 9. Timeline: The Journey of Money

| Era | What Happened |
|-----|---------------|
|-----|---------------|

|                                   |                                                                      |
|-----------------------------------|----------------------------------------------------------------------|
| <b>Barter System</b>              | People traded goods directly — milk for clothes, fruit for tools.    |
| <b>Coins Invented</b>             | Metal coins made trading easy. India used punch-marked silver coins. |
| <b>Paper Money &amp; Banks</b>    | Governments issued paper notes; banks kept money safe.               |
| <b>Digital Payments &amp; UPI</b> | Smartphones let us pay instantly with just a tap!                    |

## 10. Classroom Activity — Let's Think About Money!

If you could buy anything with just *one* thing (not money), what would you use? Think about it!

### Discussion Questions

**Q1. What is barter? Can you give your own example of barter?**

Answer: \_\_\_\_\_  
 \_\_\_\_\_

**Q2. Why was barter difficult? Name any two problems.**

Answer: \_\_\_\_\_  
 \_\_\_\_\_

**Q3. Who makes the coins and notes we use in India?**

Answer: \_\_\_\_\_  
 \_\_\_\_\_

**Q4. What does UPI stand for? How does it help us?**

Answer: \_\_\_\_\_  
 \_\_\_\_\_

**Q5. Would you choose gold, chocolate, or your favourite toy as money? Why?**

Answer: \_\_\_\_\_  
 \_\_\_\_\_

## 11. Key Vocabulary

| Word            | Meaning                                                               |
|-----------------|-----------------------------------------------------------------------|
| <b>Barter</b>   | Trading goods directly without money.                                 |
| <b>Currency</b> | The money used in a country (coins and notes).                        |
| <b>RBI</b>      | Reserve Bank of India — the bank that makes and manages Indian money. |

|                        |                                                                             |
|------------------------|-----------------------------------------------------------------------------|
| <b>UPI</b>             | Unified Payments Interface — a digital way to send/receive money instantly. |
| <b>Digital Payment</b> | Paying for things using a phone or computer instead of cash.                |
| <b>Bank</b>            | A safe place to store and save money.                                       |